resulting from a more limited scope of Inline XBRL requirements, the adopted rules are preferable to the alternative.[1028]

XVIII. PAPERWORK REDUCTION ACT

Certain provisions of the rules in Regulation SE contain new "collection of information" requirements within the meaning of the Paperwork Reduction Act of 1995 ("PRA").[1029] The Commission published a notice requesting comment on these collections[1030] and submitted the proposed collection of information to the Office of Management and Budget ("OMB") for review in accordance with 44 U.S.C. 3507 and 5 CFR 1320.11. The title of the new collection of information is Regulation SE, and OMB Control Number 3235-0793 has been assigned. As adopted, Regulation SE creates a regime for the registration and regulation of SBSEFs and addresses other issues relating to SBS execution.

In addition, the Commission is amending Rule 3a1-1 under the SEA to exempt a registered SBSEF from the statutory definition of "exchange." Furthermore, the Commission is adopting new Rule 15a-12 under the SEA that, while affirming that an SBSEF would also be a broker under the SEA, would exempt a registered SBSEF from certain broker requirements under the SEA.

Regulation SE includes rules regarding the registration of a prospective SBSEF on Form SBSEF, the filing of new or amended rules or new products with the Commission, and rules implementing the Core Principles for SBSEFs under section 3D(d) of the SEA.[1031] An agency

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1028 *See supra* section XVII.C.3(f).

1029 44 U.S.C. 3501 *et seq*.

1030 *See* Proposing Release, 87 FR at 28958–69.

1031 15 U.S.C. 78c-4(d). As adopted, Regulation SE contains 36 separately designated rules (800 to 835, inclusive), which (if adopted) would be located in 17 CFR 242; a Form SBSEF (with instructions); and a submission cover sheet (with instructions). If adopted, the form and the submission cover sheet would be located in 17 CFR 249.

may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number.

A. Summary of collection of information

The rules and rule amendments contained in Regulation SE include a collection of information within the meaning of the PRA for SBSEFs that are required to comply with Regulation SE and file a Form SBSEF with the Commission for registration as an SBSEF and, among other things, submit certain filings to the Commission pursuant to Rules 804–807 with respect to new products and proposed rule changes. In addition, Rule 833 includes a collection of information within the meaning of the PRA for persons that wish to seek an exemption order under that rule, and Rule 834 includes a collection of information within the meaning of the PRA for SBS exchanges (in addition to SBSEFs). The Commission generally is adopting Regulation SE as proposed, except for certain sections that have been modified in response to comments received. The modified Rules that have associated paperwork burdens are Rules 804, 815, 819, 825, and 834. Each of these modifications and their impact on the paperwork burden are described in more detail below.

Many of the rules that constitute Regulation SE are modeled after analogous CFTC rules, with only minor edits to reflect differences between the statutory regimes of the two agencies. Entities that are most likely to register with the Commission as SBSEFs are those already registered with the CFTC as SEFs. Such entities have made substantial investments in systems, policies, and procedures to comply with and adapt to the regulatory system developed by the CFTC. Harmonization will allow these dually registered entities to utilize their existing systems, policies, and procedures to comply with the Commission's SBSEF rules, and SEF members would likely face only marginal additional burdens to trade SBS as well as swaps on those

SEF/SBSEFs. In light of these factors, the Commission has based many of its paperwork burden estimates on CFTC burden estimates calculated for analogous CFTC rules.

The CFTC estimated PRA burdens by aggregating the burdens produced by a group of related rules, as explained more fully in section XX(D) below. In most cases, the Commission has modeled its methodology, assumptions, and calculations on those used by the CFTC with respect to its SEF regulations, while making adjustments that reflect differences between the scale of the market for swaps relative to the market for SBS—for example, the estimated number of SBSEFs, number of SBS market participants, and number of SBS transactions—as necessary. The Commission received no comments on its proposed PRA methodology, assumptions, calculations, and estimates, and such an approach continues to be appropriate. As noted above, almost all of the burden estimates are based on CFTC estimates that have been approved by OMB. The CFTC estimates that serve as the basis for the Commission's estimates have not changed since the Proposing Release has been published, with the exception of one estimate for Rule 811(d). Consequently, the Commission continues to estimate the burdens as those set forth in the Proposing Release, except for one adjustment to match a subsequent adjustment in the CFTC estimate relevant to Rule 811(d). As explained in more detail below, for rules that have been modified that contain associated paperwork burdens, the modifications do not result in any change in paperwork burden.

The following is a summary of the rules contained in Regulation SE.[1032] The paperwork burdens associated with each rule in Regulation SE are discussed in section XX(D) below.

[1032] *See supra* section II.A (discussing Rule 800); section II.B (discussing Rule 801); section II.C (discussing Rule 802); section III.A (discussing the registration provisions contained in Rule 803); section III.B (discussing Form SBSEF); section IV.A (discussing Rule 804); section IV.B (discussing Rule 805); section IV.C (discussing Rule 806); section IV.D (discussing Rule 807); section IV.GIV.F (discussing Rule 808); section IV.G (discussing Rule 809); section IV.H (discussing Rule 810); section V.A (discussing Rule 811); section V.B (discussing Rule 812); section V.C (discussing Rule 813); section V.D (discussing Rule

Rule Number and Title	Overview of Rule	Paperwork Burden Created?
800—Scope	States that the provisions of this section shall apply to every SBSEF that is registered or is applying to become registered as an SBSEF under section 3D of the SEA	No
801—Applicable provisions	Requires an SBSEF to comply with all applicable Commission rules, including any related definitions and cross-referenced sections	No
802—Definitions	Definitions	No
803—Requirements and procedures for registration	Sets out a process for registering with the Commission as an SBSEF, including the submission of Form SBSEF	Yes
804—Listing products for trading by certification	Procedures by which an SBSEF, via self-certification, may list a product for trading	Yes[a]
805—Voluntary submission of new products for Commission review and approval	Procedures for voluntary submission of new products for Commission review and approval	Yes
806—Voluntary submission of rules for Commission review and approval	Procedures for voluntary submission of new rules or rule amendments for Commission review and approval	Yes
807—Self-certification of rules	Procedures by which an SBSEF can implement a new rule or rule amendment via self-certification	Yes
808—Availability of public information	Sets out the information that will be made public with respect to applications to become an SBSEF as well as filings relating to rules and products	No
809—Staying of certification and tolling of review period pending	Provides for a stay of a product certification or tolling of a review period for a product where it is unclear whether the product should be classified as an SBS under the jurisdiction of the SEC or a swap under the jurisdiction of	Yes

814); section V.E (discussing Rule 815); section V.F (discussing Rule 816); section V.G (discussing Rule 817); section VI.A (discussing Rule 818); section VI.B (discussing Rule 819); section VI.C (discussing Rule 820); section VI.D (discussing Rule 821); section VI.E (discussing Rule 822); section VI.F (discussing Rule 823); section VI.G (discussing Rule 824); section VI.H (discussing Rule 825); section VI.I (discussing Rule 826); section VI.J (discussing Rule 827); section VI.K (discussing Rule 828); section VI.L (discussing Rule 829); section VI.M (discussing Rule 830); section VI.N (discussing Rule 831); section VII.A (discussing Rule 832); section VII.B (discussing Rule 833); section VIII (discussing Rule 834); section IX (discussing the notice required by Rule 835); section X (discussing amendments to Rule 3a1-1); section XI (discussing proposed Rule 15a-12); section XIV (discussing new rules and amendments to the Commission's Rules of Practice).

jurisdictional determination	the CFTC pending the issuance of a joint interpretation by the SEC and CFTC clarifying which agency has jurisdiction over the product	
810—Product filings by SBSEFs that are not yet registered and by dormant SBSEFs	Provides that an applicant for registration as an SBSEF may submit for Commission review and approval an SBS's terms and conditions or rules prior to listing the product as part of its application for registration	Yes
811—Information relating to SBSEF compliance	Provides that an SBSEF shall submit information to the Commission that the Commission requests, including demonstrations that the SBSEF is in compliance with one or more Core Principles, notification of a transfer 50% or more of the equity interest in the SBSEF, and information about pending legal proceedings	Yes
812—Enforceability	Provides that a transaction entered into on or pursuant to the rules of an SBSEF shall not be void, voidable, subject to rescission, otherwise invalidated, or rendered unenforceable because of a violation by the SBSEF of section 3D of the SEA or the Commission's rules thereunder; also requires an SBSEF to provide each counterparty to a transaction on the SBSEF with a written record of all the terms of the transaction that were agreed to on the SBSEF	Yes
813—Prohibited use of data collected for regulatory purposes	Provides that an SBSEF shall not use for business or marketing purposes any proprietary data or personal information that it collects or receives, from or on behalf of any person, for the purpose of fulfilling its regulatory obligations, without such person's consent; also requires the SBSEF not to condition access to its markets on such consent and provide that the SBSEF may, where necessary for regulatory purposes, share such data or information with other registered SBSEFs or exchanges	No
814—Entity operating both a national securities exchange and SBSEF	Provides that an entity that intends to operate both a national securities exchange and an SBSEF shall separately register the two facilities pursuant to section 6 of the SEA and Rule 803, respectively; also provides that a national securities exchange shall, to the extent that the exchange also operates an SBSEF and uses the same electronic trade execution system, identify whether electronic trading of SBS is taking place on or through the national securities exchange or the SBSEF	No
815—Methods of execution for Required and Permitted Transactions	Provides that a Required Transaction must be executed on an SBSEF through an order book or RFQ system, whereas a Permitted Transaction can be executed in any manner; also requires an SBSEF to maintain rules and procedures that facilitate the resolution of error trades and that an	Yes

	SBSEF shall not generally disclose the identity of a counterparty to an SBS that is executed anonymously and intended to be cleared	
816—Trade execution requirement and exemptions therefrom	Sets out a process and standards for an SBSEF to MAT an SBS; also establishes certain exemptions from the trade execution requirement	Yes
817—Trade execution compliance schedule	Provides that an SBS transaction shall be required to be executed on an SBS exchange or SBSEF upon the later of a determination by the Commission that the SBS is required to be cleared and 30 days after a MAT determination submission or certification for that SBS is approved or certified, respectively	No
818—Core Principle 1 (Compliance with Core Principles)	Requires a registered SBSEF to comply with the SEA's Core Principles for SBSEFs	Yes
819—Core Principle 2 (Compliance with rules)	Requires a registered SBSEF to establish, comply with, and enforce its own rules—including rules regarding market access; rules governing trading, trade processing, and participation that will deter abuses; rules governing the operation of the SBSEF; and rules to capture and retain an audit trail—and have the capacity to detect, investigate, and enforce those rules; also requires an SBSEF to establish rules that generally prohibit employees from trading any covered interest or disclosing any material, non-public information obtained as a result of their employment by the SBSEF; also requires an SBSEF to maintain in effect rules that render a person ineligible to serve on the SBSEF's disciplinary committees, arbitration panels, oversight panels, or governing board who has been found to have committed enumerated offenses	Yes
820—Core Principle 3 (SBS not readily susceptible to manipulation)	Requires an SBSEF to permit trading only in SBS that are not readily susceptible to manipulation	Yes
821—Core Principle 4 (Monitoring of trading and trade processing)	Requires an SBSEF to establish and enforce rules detailing trading and trade processing procedures, and to monitor trading and market activity to prevent manipulation, price distortion, and delivery or settlement disruptions; also requires an SBSEF to demonstrate that it has access to sufficient information to assess whether trading on its market or in the underlying assets or indexes is being used to affect prices on its market	Yes

822—Core Principle 5 (Ability to obtain information)	Requires an SBSEF to establish and enforce rules that would allow it to obtain any information necessary to comply with section 3D of the SEA and to provide that information to the Commission on request	Yes
823—Core Principle 6 (Financial integrity of transactions)	Requires an SBSEF to establish and enforce rules for ensuring the financial integrity of SBS on its facility, including the clearance and settlement of the SBS; also requires that SBS that are required to be cleared shall be cleared by a registered clearing agency (or a clearing agency that has obtained an exemption from clearing agency registration to provide central counterparty services for SBS), that the SBSEF provide for minimum financial standards for its members, and that the SBSEF monitor its members for compliance with those standards	Yes
824—Core Principle 7 (Emergency authority)	Requires an SBSEF to adopt rules to provide for the exercise of emergency authority, in order for the SBSEF to maintain fair and orderly trading and prevent or address manipulation or disruptive trading practices	Yes
825—Core Principle 8 (Timely publication of trading information)	Requires an SBSEF to make public timely information on price, trading volume, and other trading data on SBS transactions, as required by Regulation SBSR, and to publish on its website a Daily Market Data Report	Yes
826—Core Principle 9 (Recordkeeping and reporting)	Sets forth recordkeeping and reporting obligations for SBSEFs and requires an SBSEF to maintain, for a period of five years and in a form and manner acceptable to the Commission, records of all activities relating to the business of the facility, including a complete audit trail,	Yes
827—Core Principle 10 (Antitrust considerations)	Provides that, unless necessary or appropriate to achieve the purposes of the SEA, an SBSEF shall not adopt any rules or take any actions that result in any unreasonable restraint of trade or impose any material anticompetitive burden on trading or clearing	No
828—Core Principle 11 (Conflicts of interest)	Requires an SBSEF to establish and enforce rules to minimize conflicts of interest in its decision-making process and to establish a process for resolving such conflicts	Yes
829—Core Principle 12 (Financial resources)	Requires an SBSEF to have adequate financial, operational, and managerial resources to discharge its responsibilities; would also set forth the standards used to calculate the adequacy of such resources and require certain reports to the Commission	Yes
830—Core Principle 13 (System safeguards)	Requires an SBSEF to establish and maintain a program of automated systems and risk analysis to identify and minimize sources of operational risk, through the development of appropriate controls and procedures;	Yes

	would also require an SBSEF to establish and maintain emergency procedures, backup facilities, and a plan for disaster recovery; conduct periodic tests to verify those resources are sufficient; and notify the Commission promptly of any cyber incidents and material planned changes to the SBSEF's systems safeguards	
831—Core Principle 14 (Designation of CCO)	Requires an SBSEF to designate a CCO and set forth regulatory and reporting obligations for the CCO	Yes
832—Cross-border mandatory trade execution	Explains when the SEA's trade execution requirement applies to a cross-border SBS transaction	No
833—Cross-border exemptions	Provides for a process by which the Commission, upon making the requisite findings, could grant exemptions from the SEA definitions of "exchange," "security-based swap execution facility," and "broker" and exempt cross-border SBS from the SEA's trade execution requirement	Yes
834—Mitigation of conflicts of interest of SBSEFs and SBS exchanges	Provides that each SBSEF and SBS exchange must create and maintain rules to mitigate conflicts of interest between SBSEFs and SBS exchanges and their members, including by prohibiting members from owning 20% or more of the voting securities of an SBSEF or SBS exchange (with certain exceptions), and from exercising disproportionate influence in disciplinary proceedings; would also require each SBSEF and SBS exchange to submit to the Commission after every governing board election a list of each governing board's members, the groups they represent, and how the composition of the board complies with the requirements of Rule 834	Yes
835—Notice to Commission by SBSEF of final disciplinary action or denial or limitation of access	Provides that, if an SBSEF issues a final disciplinary action against a member, denies or conditions membership, or denies or limits access of a person to any services offered by the SBSEF, the SBSEF shall file a notice of such action with the Commission within 30 days and serve a copy on the affected person	Yes
3a1-1—proposed amendments	Exempts from the SEA definition of "exchange" a registered SBSEF that provides a market place for no securities other than SBS, and an entity that has registered with the Commission as a clearing agency and limits its exchange functions to operation of a trading session that is designed to further the accuracy of end-of-day valuations	No
15a-12—Exemption for certain SBSEFs from certain broker	Exempts a registered SBSEF from certain broker requirements while affirming that an SBSEF is a broker under the SEA	No

requirements		
Rules and amendments to the Commission's Rules of Practice	New rules and amendments to the Rules of Practice to allow persons who are aggrieved by a final disciplinary action, a denial or conditioning of membership, or a denial or limitation of access by an SBSEF to seek an application for review by the Commission	No**
Amendments to Delegations of Authority in Rules 30-3 and 30-14	Amendments to Commission's rules delegating authority to the Division Director and to the General Counsel in order to delegate authority to take actions necessary to carry out the rules under Regulation SE and to facilitate the operation of the regulatory structure created in Regulation SE	No**

** The Commission finds, in accordance with section 553(b)(3)(A) of the Administrative Procedure Act ("APA"), 5 U.S.C. 553(b)(3)(A), that the revisions to the Commission's Rules of Practice, as well as the amendments to the Commission's delegations of authority to the Director of Trading and Markets pursuant to 17 CFR 200.30-3 and to the General Counsel pursuant to 17 CFR 200.30-14, relate solely to agency organization, procedure, or practice. They are therefore not subject to the provisions of the APA requiring notice, opportunity for public comment, and publication. To the extent that these rules relate to agency information collections during the conduct of administrative proceedings, they are exempt from review under the PRA. Notwithstanding this finding, the Commission published certain proposed changes to the Commission's Rules of Practice for notice and comment in the Proposing Release but received no specific comments pertaining to them. *See supra* section XIV.

B. Proposed use of information

1. Registration Requirements and Form SBSEF

Regulation SE imposes various requirements relating to SBSEF registration, which are set forth in Rule 803.[1033]

The information collected pursuant to these adopted rules will enhance the ability of the Commission to determine whether to approve the registration of an entity as an SBSEF; to monitor and oversee SBSEFs; to determine whether SBSEFs initially comply, and continue to operate in compliance, with the SEA, including the Core Principles applicable to SBSEFs; to carry out its statutorily mandated oversight functions; and to maintain accurate and updated information regarding SBSEFs. Because the registration information will be publicly available,

[1033] *See, e.g.*, Proposed Rule 803(b)(1) (requiring an entity that wishes to register with the Commission as an SBSEF to submit a Form SBSEF).

except to the extent that a request for confidential treatment is granted, it could also be useful to an SBSEF's members, other market participants, other regulators, and the public generally.

2. Requirements for SBSEFs to Establish Rules

Various provisions of Regulation SE require SBSEFs to establish certain rules, policies, and procedures to comply with applicable requirements of the SEA and the Commission's rules thereunder.[1034] The rules also will help an SBSEF's members to understand and comply with the rules of the SBSEF.

3. Reporting Requirements for SBSEFs

Various provisions of Regulation SE require SBSEFs and certain other persons to submit reports or provide specified information.[1035] This information will generally be used by the Commission in its oversight of SBSEFs and the SBS markets; certain of the information to be collected could be used by market participants to confirm their SBS transactions.

4. Recordkeeping Required under Regulation SE

Regulation SE requires an SBSEF to keep specified records.[1036] The audit trail information required to be maintained under Regulation SE will aid the SBSEF in detecting and deterring fraudulent and manipulative acts with respect to trading on its market, as well as help the SBSEF to fulfill the statutory requirement in Core Principle 4 that an SBSEF monitor trading in SBS, including through comprehensive and accurate trade reconstructions. In addition,

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1034 *See, e.g.*, Proposed Rule 819(a)(2) (requiring an SBSEF to establish and enforce trading, trade processing, and participation rules).

1035 *See, e.g.*, Proposed Rule 829 (requiring an SBSEF, quarterly or upon Commission request, to provide the Commission a report that includes the amount of financial resources necessary to meet the requirements of Rule 829).

1036 *See* Proposed Rule 826 (requiring an SBSEF to maintain records of all activities relating to the business of the facility, including a complete audit trail, and to report information to the Commission upon request).